

India's Defense Industrial Rise

Indigenisation, BrahMos, and the World's Fourth-Largest Military Budget

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Executive Summary

India's defense transformation over the 2020-2026 period represents the most consequential restructuring of a major military's acquisition and industrial strategy since China's defense modernisation surge of the 1990s. India's defense budget for FY2026 stands at Rs 6.81 trillion (approximately \$82 billion), making India the world's fourth-largest defense spender — behind the United States, China, and Russia, and surpassing the United Kingdom and Saudi Arabia. The budget figure, however, understates the structural transformation underway: India has shifted from being the world's largest arms importer (a status it held for most of the 2000s and 2010s) toward an explicit policy of "Make in India" defense indigenisation, and is simultaneously emerging as an arms exporter with \$2.5 billion in defense exports in FY2024 — up from less than \$300 million in FY2015. The government's target of \$6 billion in annual defense exports by 2029 reflects a genuine strategic ambition, not merely an aspirational number.

The driver of this transformation is not simply budget growth — it is the combination of the June 2020 Galwan Valley clash with China (which killed 20 Indian soldiers and fundamentally reshaped India's threat calculus), the Ukraine war's demonstration that indigenous defense industrial depth determines war-fighting sustainability, and the political will of successive Modi governments to reduce India's structural dependency on Russian weapons systems that can no longer be reliably serviced or upgraded given Western sanctions.

Part I — The Galwan Shock and Its Strategic Legacy

June 2020: The Night That Changed Everything

On the night of June 15-16, 2020, Indian and Chinese troops engaged in hand-to-hand combat in the Galwan Valley of Ladakh — a clash that killed 20 Indian soldiers and an unknown number of Chinese troops (China acknowledged 4 deaths in February 2021, Indian intelligence estimates placed the figure at 35-45). The clash represented the deadliest India-China border confrontation since the 1967 Nathu La incident and shattered the diplomatic fiction — maintained since Rajiv Gandhi's 1988 visit to Beijing — that the Line of Actual Control (LAC) was a manageable, stable boundary between two Asian giants converging toward economic partnership.

India's response was immediate and multi-dimensional: within 72 hours, the government banned 267 Chinese apps (including TikTok and WeChat) citing national security; restricted Chinese FDI; fast-tracked emergency arms purchases (Rafale fighters from France, additional Apache attack helicopters from the US, S-400 air defence systems from Russia); and activated the Emergency Procurement Authority to acquire equipment without standard tendering delays. More consequentially, the Ministry of Defence

published two "positive indigenisation lists" — specifying over 500 defense items that may no longer be imported but must be procured domestically from Indian industry — directly incentivising the development of Indian defense manufacturing capability.

The Positive Indigenisation Lists

By August 2026, four successive Positive Indigenisation Lists (PILs) have been published, covering 509 defense items including artillery guns, light combat aircraft, helicopters, military-grade software, radar systems, sonar systems, and ammunition. The policy's structural impact: each PIL item creates a captive government procurement opportunity exclusively for Indian manufacturers, providing the revenue visibility that defense startups and established defense PSUs (Hindustan Aeronautics Limited, Bharat Electronics Limited, Bharat Dynamics Limited) need to invest in capacity and technology. The total procurement opportunity from PIL items is estimated at Rs 35,000 crore (\$4.2 billion) per year.

Part II — BrahMos: India's Most Consequential Weapons System

The India-Russia Joint Venture

BrahMos Aerospace — a 50.5%-49.5% joint venture between India's Defence Research and Development Organisation (DRDO) and Russia's NPO Mashinostroyeniya — has produced what is widely acknowledged as the world's fastest operationally-deployed cruise missile. BrahMos's operational variant achieves speeds of approximately Mach 2.8-3.0 over a range of 290-500 km (with extended-range variants under development). The missile can be launched from surface ships, submarines, ground vehicles, and aircraft (the Su-30MKI air-launched version adds a new dimension to India's strike reach).

India's acquisition of BrahMos began operationally in 2007 with the Indian Army; the Indian Navy integrated the ship-launched version across its surface fleet; the Indian Air Force integrated the air-launched version on Su-30MKI by 2019. As of 2026, all three services operate BrahMos variants, making it India's only genuinely tri-service precision strike capability.

BrahMos-NG and the Export Dimension

The BrahMos-NG (Next Generation) — a lighter, smaller variant targeting Mach 3.5+ speeds with a range of 450 km — is under development for integration on lighter platforms including the LCA Tejas Mk.2 and India's proposed multi-role fighters. The export dimension is where BrahMos has become geopolitically significant: the Philippines signed a \$374 million contract in 2022 for shore-based BrahMos systems (delivered 2024), becoming the first foreign customer. Indonesia, Vietnam, Saudi Arabia, Argentina, and the UAE have all been in active discussions. The Russia-Ukraine war and resulting Western hesitancy to supply certain clients has created an opening for BrahMos as a premium non-Western precision strike option with Indian sovereign reliability.

Part III — The LCA Tejas and the Indigenous Fighter Challenge

The Long March to a Domestic Fighter

The Light Combat Aircraft (LCA) Tejas programme — initiated in 1983 and delivered to the Indian Air Force in limited numbers from 2016 — represents India's most ambitious and most delayed defense programme. The Tejas Mk.1A — the first variant with modern AESA radar, advanced electronic warfare suite, and beyond-visual-range missile capability — received initial operational clearance in 2024 after years of programme delays attributed to engine availability (the GE F414 engine procurement negotiations with the US), vendor supply chain issues, and design iterations.

The Indian Air Force's target: 83 Tejas Mk.1A aircraft at an approximate cost of Rs 48,000 crore (\$5.8 billion), followed by 97+ LCA Mk.2 aircraft with enhanced payload and range. HAL's (Hindustan Aeronautics Limited) challenge is production rate — at 8 aircraft per year in 2024, the timeline to complete the Mk.1A order extends to 2034, by which time the aircraft will be 30 years from initial concept and still not matching the capability of contemporary 4.5-generation fighters from Western manufacturers.

AMCA: India's 5th-Generation Bet

The Advanced Medium Combat Aircraft (AMCA) — India's attempt to develop a 5th-generation stealth fighter domestically — received Cabinet approval for development in 2024 with a budget of Rs 15,000 crore (\$1.8 billion) for the R&D phase. The AMCA specification calls for internal weapons bays, an S-shaped inlet, and an indigenous AESA radar — all hallmarks of a proper stealth aircraft. Development partner HAL aims for first flight by 2028 and induction by 2035. International analysts assess the AMCA programme as ambitious but feasible given India's software and systems integration capability — while noting India has never completed a fully indigenous high-performance combat aircraft programme on schedule.

Part IV — Defense Exports: From Importer to Exporter

The \$2.5 Billion Milestone

India's defense exports reached \$2.5 billion in FY2024 — up from \$296 million in FY2014, a near-9x increase in a decade driven by DRDO's technology licensing programme, HAL's helicopter and trainer aircraft exports, BrahMos export orders, and the growing export of ammunition, components, and naval systems. The government's target: \$6 billion in annual defense exports by 2029, with a longer-term ambition of \$10 billion — which would make India among the world's top 10 defense exporters.

Key export successes: 40 HAL-manufactured Dhruv Advanced Light Helicopters exported to Ecuador, Nepal, and Maldives; Brahmos to Philippines; ammunition (155mm, 122mm) to Eastern European allies of Ukraine via third-party supply chains; naval survey vessels to Mozambique and Seychelles; Dornier Do-228 maritime patrol aircraft to Sri Lanka, coastal surveillance systems to Maldives.

India's Strategic Positioning in Global Arms Markets

India's arms export ambition is not just commercial — it is geopolitical. Supply of Indian-origin defense equipment creates a long-term dependency relationship (training, spare parts, upgrades) that builds strategic influence. India's non-aligned status — maintaining partnerships with the US, Russia, France, and Israel simultaneously — makes Indian-origin equipment attractive to countries that do not want to be forced into a US or Russian military dependency. For Southeast Asian nations facing Chinese maritime pressure but reluctant to take the US alignment costs, India's defense industry offers a middle path.

Conclusion: The Defense Industrial Revolution in Progress

India's defense transformation is real, accelerating, and strategically consequential — but it remains a work in progress against an exacting timeline. The Galwan shock created political will; Make in India defense policy created regulatory architecture; the Ukrainian war's supply chain lessons created urgency. But India still imports approximately 65% of its defense needs (down from 80% in 2014, against a target of less than 40% by 2030), and the gap between what Indian industry can produce and what India's military requires at the frontier is still significant.

The transformation's endpoint — a self-reliant defense industrial ecosystem producing fifth-generation fighters, nuclear submarines, and hypersonic strike systems domestically — is a 15-25 year project, not a 5-year one. But the trajectory is unmistakable. India in 2026 is not the arms-import-dependent,

Russian-weapon-dependent military of 2014. It is building the industrial base of a genuine 21st-century military power — imperfectly, slowly by some standards, but purposefully and at a scale that will matter.

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All data from Ministry of Defence, HAL, DRDO, SIPRI, IISS, and cited sources.